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How to Open a **Group Home Business** in Wisconsin

Adult family homes under Family Care & IRIS

Step by Step

*From “where do I start?” to your first payment —
whether you start with a 1–2 bed home, or a 3–4 bed home.*

A complete, plain-language guide for real people — not lawyers or consultants.
Figures current for 2026 • Verify all details with the State of Wisconsin.

Read this first

This is a plain-language roadmap built from Wisconsin's actual rules, agencies, and Medicaid standards. It is not legal, tax, or billing advice, and details change. Two things make Wisconsin different from many states: it runs long-term care through managed care (Family Care) and self-direction (IRIS), and it treats the two home sizes very differently — a 1–2 bed adult family home is certified, while a 3–4 bed adult family home is licensed. One practical warning up front: before you apply, confirm with your funding source (an MCO or IRIS) that services are actually needed in your municipality — contracts aren't always available everywhere. Before you act, confirm the current specifics with DHS, your ADRC, the MCOs, your municipality, an attorney, an accountant, and an insurance broker.

What this guide covers

- Part 0 — The big picture: Family Care & IRIS, the two adult family home sizes, and the two ways in.
- Part 1 — Path A: a certified 1–2 bed adult family home (the small, family-model start).
- Part 2 — Path B: a licensed 3–4 bed adult family home (the group home).
- Part 3 — Who you need on your team.
- Part 4 — The home: what your house needs (fire safety, licensing/certification, and local ordinances).
- Part 5 — Getting your first person placed.
- Part 6 — How you get paid: contracting with an MCO or IRIS, and your first payment.
- Part 7 — What it costs and how long it takes.
- Part 8 — When they say “check locally”: who to call and exactly what to ask (Milwaukee & Madison worked out).

PART 0

The Big Picture

Opening a group home in Wisconsin is not like opening a normal small business, and the reason people get lost is that the information lives in a dozen different places — and Wisconsin's managed-care system adds a twist. Here it is in one place.

How Wisconsin pays for long-term care — Family Care & IRIS

Wisconsin doesn't pay most providers directly through fee-for-service Medicaid. Its long-term care runs two ways: Family Care, where the state pays a managed care organization (MCO) monthly and the MCO buys services for its members, and IRIS (Include, Respect, I Self-Direct), where the participant manages their own budget and hires their own providers. Either way, people start at their local Aging and Disability Resource Center (ADRC), which checks eligibility with the Long-Term Care Functional Screen. To get paid, you'll contract with an MCO or serve IRIS participants.

The two adult family home sizes — and this really matters

- 1-2 bed adult family home (AFH) — the family model. The provider lives in the home, and one or two adults receive care above room and board. A 1-2 bed AFH is CERTIFIED (not licensed). This is the small, host-home-style option.
- 3-4 bed adult family home (AFH) — the group home. Three or four unrelated adults live in a private residence and receive care above room and board. A 3-4 bed AFH is LICENSED by the state (DHS Division of Quality Assurance) under Wis. Admin. Code ch. DHS 88.

The players — learn these names, you'll deal with all of them

- DHS — the Department of Health Services. Its Division of Quality Assurance (DQA) licenses/certifies homes; its Division of Medicaid Services runs IRIS.
- MCO — the managed care organization that runs Family Care in your area and contracts with (and pays) providers.
- IRIS — the self-directed program; participants use a budget and a fiscal employer agent (FEA) to pay providers, with an IRIS consultant to help.
- ADRC — the local Aging and Disability Resource Center; the entry point for eligibility and enrollment.
- Certifying / licensing agency — for a 1-2 bed AFH, the MCO (Family Care) or DHS (IRIS) certifies you; for a 3-4 bed AFH, DHS/DQA licenses you.

The fork in the road — there are two ways in

- Path A — A certified 1-2 bed AFH. You live in the home; one or two adults live with you. Certified (not licensed). Smallest, fastest, closest to a host home.
- Path B — A licensed 3-4 bed AFH. Three or four adults live in a home you operate. Licensed by DHS/DQA under DHS 88, with a licensing survey. Bigger operation, more oversight.

PART 1 • PATH A

A Certified 1-2 Bed Adult Family Home

Start here. It's the fastest way in — and it's the true family model.

Step 1 — Make sure it fits your life

A 1-2 bed AFH means you live in the home and one or two adults live with you and receive care above room and board. Everyone in the household is part of the process, so this is a family decision — go in with eyes open about the good days and the hard ones.

Step 2 — Confirm there's a need where you live

Before anything else, contact your ADRC and the local MCO(s) or IRIS to confirm services are actually needed in your municipality — contracts for certain adult family homes aren't offered everywhere. This one call can save you months.

Step 3 — Get certified

A 1-2 bed AFH is certified as a condition of Medicaid payment. For Family Care, the MCO certifies you; for IRIS, you certify through the DHS AFH Provider Portal (email DHSIRISAFH@dhs.wisconsin.gov to start). Certification follows the Wisconsin Medicaid Standards for Certified 1-2 Bed Adult Family Homes (P-00638).

Step 4 — Pass background checks & training

Complete caregiver background checks (including the DHS Caregiver Registry) for everyone covered by the rule, and 15 hours of training within your first 90 days (the WisCaregiver Careers program meets this). Training covers medications, fire safety, first aid, resident rights, and abuse prevention.

Step 5 — Get your home ready

Your home must meet the home-environment and HCBS-settings standards — privacy and dignity, safe water temperatures, well-water testing if you're not on public water, and the safety basics. See Part 4.

Step 6 — Put your policies in writing

You'll keep clear documentation — medications, emergencies, incident reporting, and the rights of the people you support. PolicyReady's Wisconsin manuals are built for exactly this: ready to customize, just add your details.

Step 7 — Get matched, and get paid

The MCO (or the IRIS participant) refers people whose plan calls for a 1-2 bed AFH, and pays you per your contract or the IRIS budget. Because you live in the home, your payments may qualify for the IRS “difficulty-of-care” exclusion (potentially non-taxable) — confirm with a tax professional. That first payment is the moment it all clicks.

PART 2 • PATH B

A Licensed 3-4 Bed Adult Family Home

More work, more capacity. Here's what's different when you go to 3-4 beds.

Step 1 — Set up the business & confirm the need

- Form your entity (LLC or corporation) with the Wisconsin DFI and get your EIN.
- As with Path A, confirm with an MCO or IRIS that services are needed in your municipality before you invest — and connect with your local municipality about ordinances (required by DHS 88.04(2)(a)).

Step 2 — Apply for your license (DHS/DQA, DHS 88)

A 3-4 bed AFH is licensed by the DHS Division of Quality Assurance under Wis. Admin. Code ch. DHS 88. You apply through the DHS DQA Provider Portal (using your MyWisconsin ID), complete an applicant compliance statement, upload your program statement, and pass an initial licensing survey. There's a licensing fee of \$171 every two years.

Step 3 — Background checks & training

Complete caregiver background checks (Wis. Stat. § 50.065 and DHS 12) for all caregivers, and ensure the licensee and each service provider completes 15 hours of approved training — including fire safety and first aid — before or within six months of starting to provide care (resident-rights training is done during new-employee onboarding and repeated yearly).

Step 4 — Contract with your funding source

A license lets you operate; an MCO contract (or IRIS participants) is how you get paid. Contract with the Family Care MCO(s) in your area, and/or serve IRIS participants who choose your home.

Step 5 — Policies, staffing & serve

Put your policies and procedures in place (PolicyReady manuals), hire and train your caregivers, and make sure each resident has the required person-centered plan and rights. Then accept referrals, deliver care, and bill your funding source (Parts 5 and 6).

PART 3

Who You Actually Need (Staffing)

1-2 bed AFH (Path A): you (and your household) are the care provider, living in the home. You'll arrange substitute/respite coverage so you can take time off, and complete your own training. You generally don't build a staff.

3-4 bed AFH (Path B), plan for these roles — one person can wear several hats at the start:

- Licensee / operator — runs the home, owns the license and compliance.
- Caregivers / service providers — the trained staff who deliver care (each background-checked; 15 hours of training including fire safety and first aid).
- Substitute / respite caregivers — to cover time off (also screened and trained).
- Registered Nurse — an AFH may provide up to seven hours per week of nursing care per resident; often part-time or contracted.
- Administrative / billing support — handles MCO/IRIS billing and documentation.

PART 4

The Home: What Your House Actually Needs

Certified vs. licensed — the key distinction

A 1-2 bed AFH is certified to the Wisconsin Medicaid Standards for Certified 1-2 Bed Adult Family Homes — a home you live in, held to home-environment and HCBS standards. A 3-4 bed AFH is licensed under DHS 88, with a licensing survey and a program statement. And in both cases, Wisconsin requires you to check with your local municipality about ordinances that govern the home and its operation.

“Do I need fire sprinklers?” — the honest answer

Adult family homes (both 1-2 bed and 3-4 bed) are small private residences, so a full commercial fire-sprinkler system generally is not required. What you must have is genuine fire safety — working smoke and carbon-monoxide detectors, extinguishers, clear exits, and a practiced emergency plan — and training in fire safety is part of the required 15 hours. Because actual fire and building requirements come from Wis. Admin. Code ch. DHS 88 and your local municipality (Wisconsin specifically requires you to check local ordinances), and can differ for ambulatory vs. non-ambulatory residents, confirm your specific home with your local municipality and fire authority before you buy or renovate.

THE HOME CHECKLIST

- Certification (1-2 bed) or a licensing survey (3-4 bed) — passed before anyone moves in.
- Working smoke and carbon-monoxide detectors, fire extinguishers, clear exits, and a written emergency plan.
- Safe water temperature (Wisconsin sets AFH water-temperature standards to prevent scalding) and, on a private well, tested well-water samples.
- HCBS settings rights — each resident's privacy, dignity, and respect; a person-centered plan; and freedom of choice about their setting.
- Local municipal compliance — confirm zoning and any local ordinances with your city, town, or village (required by DHS 88.04(2)(a)).

Two more things people get wrong

- Certified vs. licensed changes your whole process. Don't apply for a 3-4 bed license if you're really opening a 1-2 bed home — the 1-2 bed home is certified through your MCO or IRIS, not licensed by DQA.
- Room and board is separate from your pay. AFH care is “above the level of room and board” — the resident pays their own room and board; your payment is for the care and services. Keep the two separate.

PART 5

Getting Your First Person Placed

You can't get paid until someone is placed with you and services are authorized. Here's how that happens.

1. The person qualifies. They're a Wisconsin adult, enrolled in Medicaid, and found functionally eligible through the Long-Term Care Functional Screen (done by the ADRC).
2. They enroll in Family Care or IRIS. At the ADRC, they choose their program and (for Family Care) their MCO, or (for IRIS) an IRIS consultant agency and fiscal employer agent.
3. The plan calls for an AFH. Their person-centered plan (the member-centered plan in Family Care, or the ISSP in IRIS) identifies a 1-2 bed or 3-4 bed adult family home as the right setting.
4. The match. The MCO (or the IRIS participant) chooses your home based on fit, your certification/license, and your available capacity.
5. Move-in. With the plan and your contract in place, the person moves in and you're delivering a billable service.

PART 6

How You Get Paid: MCO / IRIS & Your First Payment

Who pays you — and how the rate is set

- Family Care: the MCO pays you under your provider contract. Your rate is negotiated with the MCO — there's no single statewide fee schedule for AFH care, so this is a conversation with each MCO you contract with.
- IRIS: the participant pays you from their self-directed budget, through the fiscal employer agent (FEA). The rate is agreed within the participant's budget.
- What the rate covers: your payment is for the care and services (above room and board). The resident pays their own room and board from their income.
- Where to confirm: your MCO contract (Family Care) or the IRIS budget authorization (IRIS) is your source of truth for what you'll be paid — confirm it in writing before you serve.

Your first payment

6. Confirm your MCO contract (or the IRIS budget authorization) and the agreed rate.
7. Deliver care and keep your documentation.
8. Bill your funding source — the MCO (Family Care) or through the FEA (IRIS).
9. Get paid — and keep your certification/license and authorizations current.

PART 7

What It Costs & How Long It Takes

Timeline

A 1–2 bed AFH (Path A) can move relatively quickly once you've confirmed a need and started certification — background checks, training, and the certification review. A 3–4 bed AFH (Path B) takes longer: business setup, the DHS/DQA license application and survey, and contracting with an MCO. Remember the underlying Medicaid enrollment for a person can itself take up to three months. Confirm current timelines with DHS/DQA and your MCO.

Startup line items

1–2 bed costs are modest — mainly your time, background checks, training, and getting your home ready. A 3–4 bed license adds business formation, insurance, the \$171 licensing fee (every two years), staff payroll, and your policies and procedures. Confirm current fees with DHS/DQA.

PART 8

When They Say “check Locally”: Who to Call & What to Ask

In Wisconsin, your ADRC, your MCO/IRIS, and (for a 3–4 bed) DHS/DQA are the center of gravity, with your municipality close behind. Here's who to call and exactly what to ask.

The statewide offices (same for everyone)

For...	Contact
Find your local ADRC	844-WIS-ADRC (844-947-2372) · dhs.wisconsin.gov/adrc
Licensing a 3–4 bed AFH	DHS Division of Quality Assurance — DQA Provider Portal (MyWisconsin ID)
Certifying a 1–2 bed AFH (IRIS)	DHS — DHSIRISAFH@dhs.wisconsin.gov (AFH Provider Portal)
IRIS program questions	DHS IRIS — 888-515-4747 · DHSIRIS@wisconsin.gov
Family Care / member services	800-362-3002 · Family Care GSR map for MCOs by county

The local calls — and what to ask on each one

① YOUR ADRC AND LOCAL MCO/IRIS — YOUR MOST IMPORTANT CALLS

- “Is there a need for a 1–2 bed / 3–4 bed adult family home in my municipality, and which MCOs contract here?”
- “What's your process to certify or contract with a new adult family home, and how are rates set?”

② DHS/DQA (FOR A 3–4 BED) — LICENSING

- “How do I start a 3–4 bed AFH license in the DQA Provider Portal, and what's on the initial licensing survey?”

③ YOUR MUNICIPALITY (CITY / TOWN / VILLAGE) — REQUIRED

- “I want to open an adult family home for [1–2 / 3–4] adults with disabilities at this address. What local ordinances or zoning apply?” (Wisconsin requires you to check this — DHS 88.04(2)(a).)

Fully worked examples — Wisconsin's two biggest metros

Most people start in or near one of these two. Wisconsin has an ADRC in every county — find yours by where you live.

MILWAUKEE (MILWAUKEE COUNTY)

- ADRC: Aging and Disability Resource Center of Milwaukee County — your entry point; statewide line 844-WIS-ADRC.
- Funding source: several Family Care MCOs serve Milwaukee County (see the Family Care GSR map); IRIS is also available.
- Licensing (3–4 bed): DHS/DQA via the Provider Portal; City of Milwaukee / Milwaukee County for local ordinances and fire.
- The local quirk here: Milwaukee is the state's biggest market with multiple MCOs — confirm which MCO(s) have a need in your specific municipality.

MADISON (DANE COUNTY)

- ADRC: Aging and Disability Resource Center of Dane County — 2865 N. Sherman Ave., Madison, WI 53704; (608) 240-7400.
- Funding source: Family Care MCO(s) serving Dane County, plus IRIS.

- Licensing (3–4 bed): DHS/DQA via the Provider Portal; City of Madison / Dane County for local ordinances and fire.
- The local quirk here: Madison is also the state capital — DHS and IRIS management are headquartered here, which can make in-person help easier.

How to find your own county's ADRC & offices

10. Call 844-WIS-ADRC (844-947-2372) to find your county's ADRC (there's one in all 72 counties).
11. Ask the ADRC and local MCO(s)/IRIS whether there's a need, then start certification (1–2 bed) or the DQA license (3–4 bed).
12. Call your city, town, or village about local ordinances and zoning — Wisconsin requires it.

CORE RULES & REFERENCES

- Wis. Stat. ch. 50 & Wis. Admin. Code ch. DHS 88 — licensed adult family homes (3–4 bed).
- Wisconsin Medicaid Standards for Certified 1–2 Bed Adult Family Homes, P-00638 — certification standards.
- Wis. Admin. Code ch. DHS 12 & Wis. Stat. § 50.065 — caregiver background checks.
- Family Care and IRIS program rules (1915(c) waivers) — MCO contracts and IRIS self-directed budgets.

You can do this.

Opening an adult family home in Wisconsin is real work — the managed-care system has a couple of extra steps — but it's a real, walkable path, and people across the state do it every day, giving someone a real home in the community. You don't have to be a lawyer or hire a consultant. You need a safe home, a good heart, and a clear map — and now you have the map. Whether you start with a 1–2 bed home or a 3–4 bed home, this guide takes you from your very first question all the way to your first payment.

Take it one step at a time, verify the current details with the State as you go, and lean on your ADRC and your MCO/IRIS — that's what they're there for.

Prepared for PolicyReady.org. Grounded in Wisconsin DHS rules, the adult family home statutes and codes, and the Family Care and IRIS program standards as of 2026. This guide is general information, not legal, tax, or billing advice. Requirements, rates, and codes change — always verify current details with the State of Wisconsin before you act.